Day 10 Internship Notes

Date: 11-06-2026

Work Start time
9:00am

Today's Objective

- Liquidity Practice on Real Charts
- Introduction to Smart Money Concepts (SMC)
- Market Structure
- DeepVue Richard's Screener (Liquid Leaders Screener)

Topics learned Today:

Topic 1: Liquidity Practice on Real Chart:

Today I focused on applying my liquidity knowledge directly on real stock charts. Instead of only learning theoretical concepts, I practiced identifying areas where liquidity exists and observed how price reacts around those zones.

I learned that liquidity is not just a concept but something that can be visually identified on a chart. Areas such as previous highs, previous lows, swing highs, swing lows, and consolidation zones often contain large numbers of pending orders and stop-loss placements. These locations frequently attract price movement because they provide the liquidity needed for large market participants to execute their trades.

During chart analysis, I observed how price often moves toward these liquidity zones before either reversing or continuing its trend. This helped me understand why certain market levels receive increased attention from traders and institutions.

Practicing liquidity on real charts improved my ability to identify potential areas of market interest and gave me a better understanding of how liquidity influences price movement and market behavior.

Topic 2: Introduction to Smart Money Concepts (SMC):

Today I was introduced to the fundamentals of Smart Money Concepts (SMC). SMC is a trading methodology that focuses on understanding how large institutions and professional market participants influence price movement.

Rather than relying solely on traditional indicators, SMC attempts to analyze the underlying market structure, liquidity, and order flow that drive market behavior. The objective is to understand where institutions may be positioning themselves and how they interact with liquidity within the market.

I learned that SMC follows a structured learning path that begins with understanding market structure before progressing to more advanced concepts.

The general learning sequence is:

Market Structure

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Break of Structure (BOS)

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Change of Character (CHoCH)

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Liquidity

↓

Liquidity Sweeps

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Imbalance / Fair Value Gap (FVG)

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Order Blocks

↓

Mitigation Blocks

↓

Premium & Discount

↓

SMC Trading Models

This structure provides a systematic approach to understanding market behavior and helps traders build a strong foundation before moving to advanced institutional trading concepts.

Topic 3: Market Structure:

Market Structure

Market Structure is the foundation of Smart Money Concepts. It helps traders identify whether the market is trending upward, trending downward, or moving sideways.

I learned that an uptrend is formed when price creates:

Higher Highs (HH)

Higher Lows (HL)

A downtrend is formed when price creates:

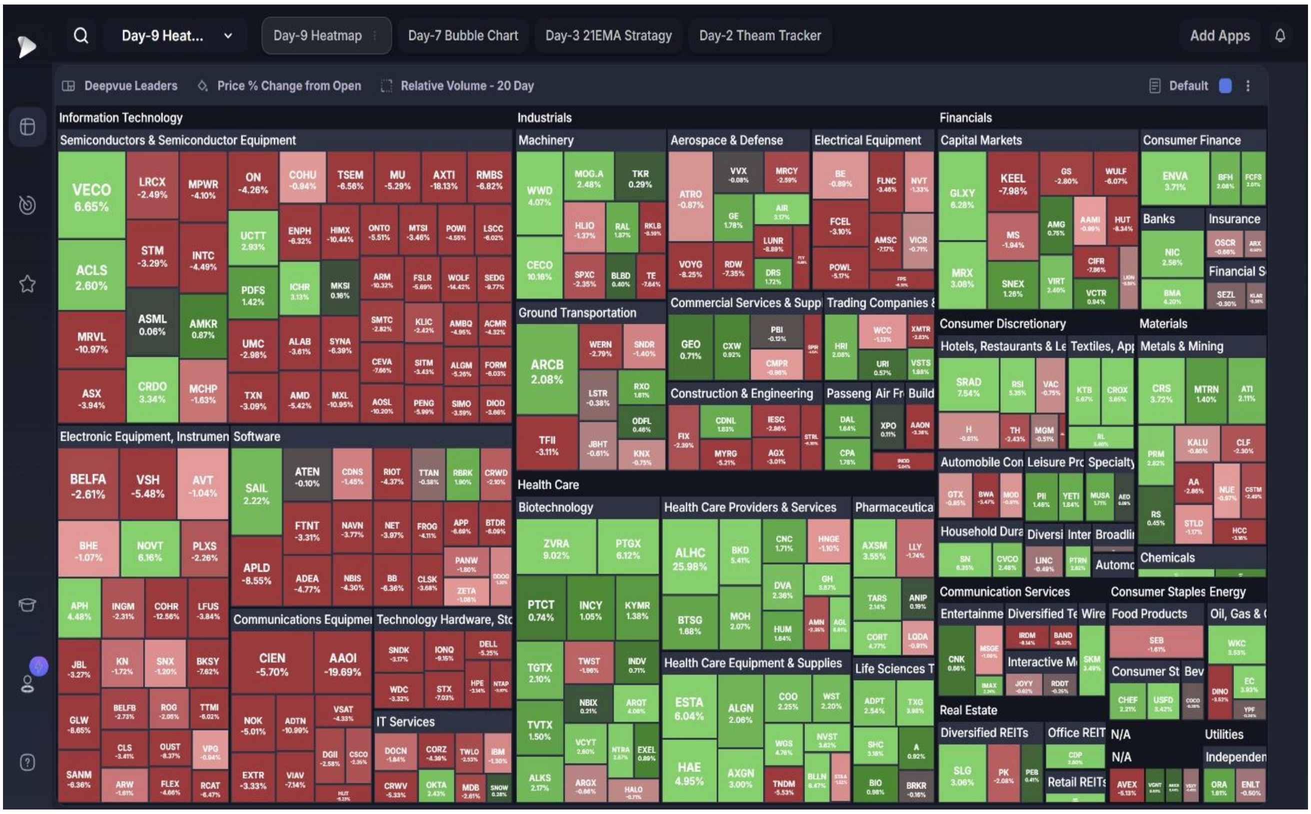
Lower Highs (LH)

Lower Lows (LL)

By identifying these patterns, traders can determine the current direction of the market and avoid trading against the dominant trend.

Understanding market structure is essential because all advanced SMC concepts rely on correctly identifying the current market trend and structure.

Practical Learning



DeepVue Practice – Richard’s Screener (Liquid leaders)

During today's practical session, I explored the Richard's Screener available in DeepVue and learned how traders use it to identify potential market leaders before significant price movements occur.

I observed how the screener applies multiple filters to narrow down thousands of stocks into a highly selective list of strong candidates. The stocks displayed met important criteria such as liquidity, relative strength, and minimum price requirements.

During my practice, I analyzed AMD using the screener interface and observed how DeepVue provides key information including EPS Rating, Volume Performance, P/E Ratio, Dividend Status, and price action directly alongside the stock chart. This allowed me to evaluate both the fundamental strength and technical condition of a stock within a single workspace.

I also observed how the chart displayed important moving averages and volume information, helping traders identify pullbacks, trend continuation opportunities, and potential breakout setups.

This practice demonstrated how professional traders use stock screeners to efficiently identify institutional-quality stocks, monitor market leaders, and create focused watchlists for further analysis.

<u>Questions I Had and Answers I got :</u>

Q1. Why is Market Structure important in trading?

Market Structure is important because it helps traders understand the current direction of the market. By identifying Higher Highs (HH), Higher Lows (HL), Lower Highs (LH), and Lower Lows (LL), traders can determine whether a stock is in an uptrend, downtrend, or consolidation phase. Understanding market structure helps traders avoid trading against the trend and provides a foundation for more advanced concepts such as Smart Money Concepts (SMC).

Q2. What is the relationship between Liquidity and Smart Money Concepts (SMC)?

Liquidity is one of the core components of Smart Money Concepts because it represents areas where large numbers of pending orders and stop-losses exist. SMC focuses on understanding how price interacts with these liquidity zones and how market participants react around important levels. Before learning advanced SMC concepts such as Fair Value Gaps (FVGs) and Order Blocks, it is essential to understand how liquidity influences market movement and price behavior.

Q3. How does the DeepVue Richard's Screener help traders find potential market leaders?

The DeepVue Richard's Screener, also known as the Liquid Leaders Screener, helps traders identify strong stocks before major price moves occur. It uses strict filters such as high liquidity, strong relative strength, and minimum price requirements to narrow thousands of stocks into a focused list of high-quality candidates. This allows traders to quickly identify stocks attracting institutional participation and concentrate on potential breakout opportunities, pullbacks to key moving averages, and emerging market leaders.

Key Takeaway

- Liquidity can be identified directly on stock charts.
- Market Structure is the foundation of Smart Money Concepts.
- Higher Highs and Higher Lows indicate uptrends.
- Lower Highs and Lower Lows indicate downtrends.
- The Richard's Screener helps identify strong liquid stocks efficiently.
- Institutional participation is often associated with highly liquid market leaders.

Conclusion

Day 10 focused on applying liquidity concepts to real charts while beginning the study of Smart Money Concepts. I learned the importance of Market Structure, Break of Structure, and Change of Character as the foundation of institutional trading analysis. I also explored the DeepVue Richard's Screener and learned how professional traders use liquidity, relative strength, and CAN SLIM-based filters to identify potential market leaders before significant price movements occur. These concepts further improved my understanding of market behavior, stock selection, and structured trading analysis.